

Buydowns

A buydown is essentially a lump sum prepayment of interest to the lender at closing that buys down the interest rate to below the market rate, either temporarily (e.g., for the first one to three years) or permanently (for the life of the loan). Most buydowns are temporary. Sometimes the lump sum pre-payment is instead added into the cost of the loan, but lenders can't do this without the borrower's express permission.

Buydown Advantage

The advantage of a buydown is that it can help the borrower qualify for a larger loan, because it keeps housing payments lower for the first few years. The mortgage payment always includes principal and interest, reducing the loan balance over time.

Borrowers who opt to temporarily buy down the interest rate often do so because they can't qualify for a mortgage payment at the going rate, and they expect to increase their income by the time the rate returns to the going market rate. They may also have available extra cash at closing, either through savings or through a gift from family.

Example

For a loan balance of \$350,000 with a going interest rate of 6.75%, the monthly mortgage payment (principal + interest) would be \$2,270. But with a 3-2-1 buydown, the buyer could put a lump sum of \$15,840 down at closing (beyond the down payment amount), and the interest rate and payments would look like this:

Year One

- Interest rate: 3.75%
- Monthly payment: \$1,621
- Annual savings: \$2,270 (original payments if a buydown wasn't utilized) - \$1,621 (new payment after buydown) = \$649 savings per month, which equals an annual savings of \$7,788

Year Two

- Interest rate: 4.75%
- Monthly payment: \$1,826
- Annual savings: \$2,270 (original payments if a buydown wasn't utilized) - \$1,826 (new payment after buydown) = \$444 savings per month, which equals an annual savings of \$5,328

Year Three

- Interest rate: 5.75%
- Monthly payment: \$2,043
- Annual savings: \$2,270 (original payments if a buydown wasn't utilized) - \$2,043 (new payment after buydown) = \$227 savings per month, which equals an annual savings of \$2,724

On the fourth through subsequent years, the rate is the original market rate of 6.75%, and monthly payments are \$2,270. The savings over the first three years have paid for the initial buydown: $\$7,788 + \$5,328 + \$2,724 = \$15,840$. Remember that the benefit here is not to save the borrowers money, but to allow them to qualify for a bigger loan by paying interest up-front. More borrowers will qualify for the \$1,621 initial monthly payment than would qualify for a \$2,270 payment.